

Hwatsing (688120.SS): China Semi capex uptrend driving shipments growth ahead; 2Q26 OP beat; Neutral

We remain positive on Hwatsing's growth ahead, supported by the China semi capex uptrend and local memory suppliers' capacity expansion. In our CHIPS IV thematic report, we raised our China semi capex estimate by 15-79% to US\$51-82bn in 2026-30E and forecast China WFE (wafer fabrication equipment) spending to grow 13%/20%/15% YoY in 2026-28E, mainly on higher investments in memory and advanced node technologies to support robust growth in generative AI, along with the SPE localization trend, supporting local players' revenue growth ahead, including Hwatsing. We maintain our **Neutral rating** on Hwatsing on a relatively fair valuation.

Hwatsing's 2Q26 revenue was up 39% YoY / 20% QoQ to Rmb1.4bn, or 10% / 7% higher than our estimate / Bloomberg consensus, driven by expanding semiconductor capex in China. 2Q26 GM is higher than our estimate and Bloomberg consensus, reflecting the faster the expected product mix upgrade towards advanced node tools. 2Q26 opex ratio is largely in line with our estimate and Bloomberg consensus, along with the lower than expected non-op incomes, leading 2Q26 net income up 16% YoY to Rmb316m, largely in line with our estimate and Bloomberg consensus.

Exhibit 1: 2Q26 result snapshot

Rmb m	2Q25	1Q26	2Q26	QoQ	YoY	GS	Act/GS	Cons.	Act/Cons
Revenue	1,037	1,201	1,442	20%	39%	1,311	10%	1,347	7%
GP	475	508	628	24%	32%	556	13%	563	12%
OP	211	226	334	48%	58%	299	12%	299	12%
Net income	272	247	316	28%	16%	322	-2%	321	-2%
Margins									
GM	45.8%	42.3%	43.6%			42.4%		41.8%	
OPM	20.4%	18.8%	23.2%			22.8%		22.2%	
NM	26.2%	20.6%	21.9%			24.6%		23.8%	

Source: Company data, Visible Alpha Consensus Data, Goldman Sachs Global Investment Research

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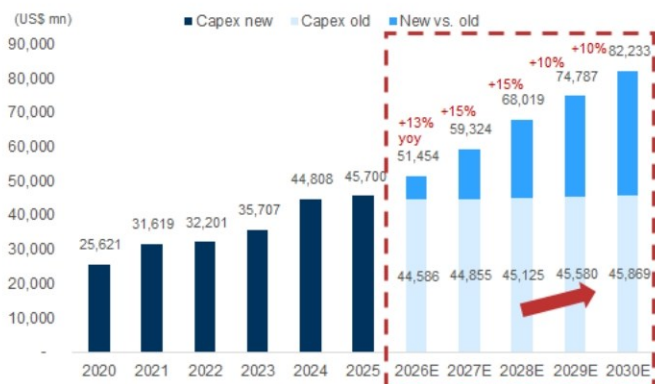
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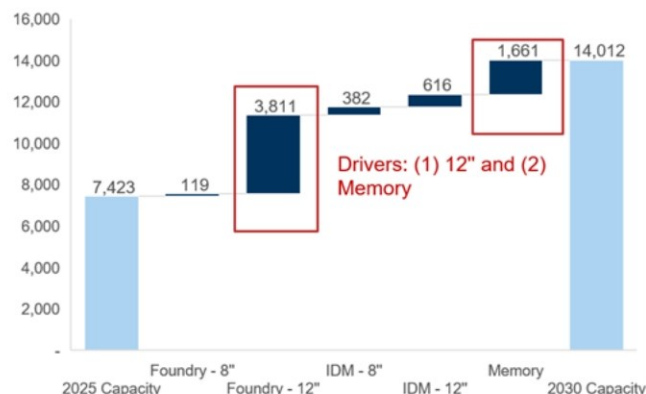
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Exhibit 2: Semis capital expenditures in China: we expect it to deliver strong growth and reach US\$82bn in 2030E


Compared to our last estimate in Aug-25, we raised our 2026-30E capex by 15%/ 32%/ 51%/ 64%/ 79%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: China will add 6m wpm of 8" / 12" capacity in 2025-30E, increasing from 7m wpm to 14m wpm


Source: Company data, Goldman Sachs Global Investment Research

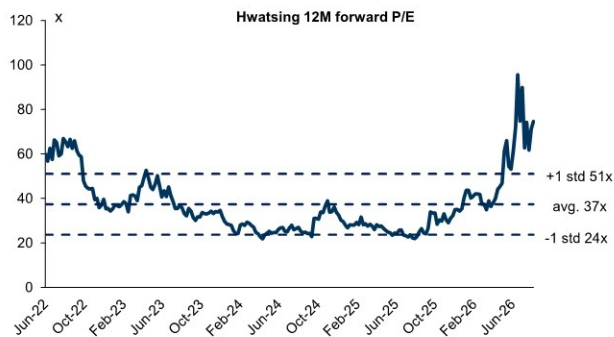
Earnings revision: We factor in Hwatsing's 2Q26 result and raise our 2026-28E revenues by 2% / 3% / 4%, mainly on higher contribution from CMP tools for advanced node, riding on the China semi capex uptrend and leading to higher GM estimates. We keep our 2026-28E opex ratios largely unchanged, along with the lower than expected non-op income in 2Q26, leading our 2026-28E net incomes -2% / +5% / +4%.

Exhibit 4: Earnings revision

Rmb mn	2026E			2027E			2028E		
	Old	New	Chg	Old	New	Chg	Old	New	Chg
Revenue	6,109	6,239	2%	7,841	8,096	3%	9,909	10,306	4%
GP	2,595	2,667	3%	3,340	3,493	5%	4,212	4,388	4%
OP	1,509	1,555	3%	2,046	2,159	5%	2,662	2,778	4%
Net income	1,566	1,530	-2%	2,109	2,210	5%	2,614	2,717	4%
Margins									
GM	42.5%	42.8%		42.6%	43.1%		42.5%	42.6%	
OPM	24.7%	24.9%		26.1%	26.7%		26.9%	27.0%	
NM	25.6%	24.5%		26.9%	27.3%		26.4%	26.4%	

Source: Company data, Goldman Sachs Global Investment Research

Valuation: We continue to derive out 12M TP from 2030E discounted P/E to capture the long-term growth opportunities. **Our 12-month target price is unchanged at Rmb395.** Our target multiple is based the correlation between peers' P/E vs. the sum of forward year NI growth and OPM, which is 45x 2030E discounted P/E target multiple (vs. 47x previously), based on the company's NI YoY at 23% and OPM at 29% in 2031E. We apply the 45x target P/E and discount it back to 2027E with a COE of 11%. **Maintain Neutral.**

Exhibit 5: Hwatsing 12M forward P/E

Source: Refinitiv Eikon

Exhibit 6: Target multiple is derived from the correlation between peers P/E and the sum of forward year earnings and OPM

	2030E P/E	2031E OPM	2031E NI YoY	Ratio
Hwatsing	45	29%	23%	0.9
	2027E P/E	2028E OPM	2028E NI YoY	Ratio
Applied materials	40	36%	20%	0.7
LAM Research	51	38%	20%	0.9
TokyoElectron	34	36%	22%	0.6
KLA	57	46%	20%	0.9
Piotech	60	16%	30%	1.3
Avg.				0.9

Source: Company data, Goldman Sachs Global Investment Research, Refinitiv Eikon

Exhibit 7: Hwatsing discounted P/E

Rmb mn	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
Revenue	2,508	3,406	4,648	6,239	8,096	10,306	12,985	16,115	19,821
Rev YoY %	52%	36%	36%	34%	30%	27%	26%	24%	23%
Gross margin	46.0%	43.2%	41.8%	42.8%	43.1%	42.6%	42.4%	42.4%	42.2%
Gross profit	1,154	1,472	1,944	2,667	3,493	4,388	5,506	6,833	8,365
Opex	599	726	1,064	1,112	1,335	1,610	1,922	2,272	2,696
Opex ratio	23.9%	21.3%	22.9%	17.8%	16.5%	15.6%	14.8%	14.1%	13.6%
OP income	555	746	880	1,555	2,159	2,778	3,584	4,560	5,669
OPM	22%	22%	19%	25%	27%	27%	28%	28%	29%
Non-op gains	235	373	318	248	325	327	327	327	327
Pre-tax profit	790	1,118	1,198	1,803	2,483	3,105	3,911	4,888	5,996
Net profit	724	1,023	1,084	1,530	2,210	2,717	3,422	4,277	5,247
YoY	44%	41%	6%	41%	44%	23%	26%	25%	23%
EPS	2.05	1.78	3.08	4.33	6.25	7.68	9.68	12.09	14.84
2030 Target P/E								45.0x	
12M target price (Rmb)					395				
TP implied P/E					63	51	41		

COE assumption	
Beta	1.20
Risk free	3.5%
Market risk premium	6.5%
COE	11%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 8: Hwatsing P&L summary

Rmb m	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26E	4Q26E	2024	2025	2026E	2027E	2028E
Revenues	912	1,037	1,244	1,454	1,201	1,442	1,649	1,946	3,406	4,648	6,239	8,096	10,306
GP	423	475	510	536	508	628	702	829	1,472	1,944	2,667	3,493	4,388
OP	202	211	249	218	226	334	456	539	746	880	1,555	2,159	2,778
EBITDA	240	248	286	255	260	368	489	572	833	1,029	1,689	2,291	2,916
Non OP	58	79	71	111	69	37	75	66	373	318	248	325	327
Pretax income	260	290	319	329	295	371	531	605	1,118	1,198	1,803	2,483	3,105
Net income	233	272	286	292	247	316	452	515	1,023	1,084	1,530	2,210	2,717
Margins													
GM	46.4%	45.8%	41.0%	36.8%	42.3%	43.6%	42.6%	42.6%	43.2%	41.8%	42.8%	43.1%	42.6%
OPM	22.2%	20.4%	20.0%	15.0%	18.8%	23.2%	27.6%	27.7%	21.9%	18.9%	24.9%	26.7%	27.0%
EBITDA margin	26.3%	24.0%	23.0%	17.5%	21.6%	25.5%	29.7%	29.4%	24.5%	22.1%	27.1%	28.3%	28.3%
NM	25.6%	26.2%	23.0%	20.1%	20.6%	21.9%	27.4%	26.4%	30.0%	23.3%	24.5%	27.3%	26.4%
YoY													
Revenues	34%	27%	30%	52%	32%	39%	33%	34%	36%	36%	34%	30%	27%
GP	30%	30%	18%	54%	20%	32%	38%	55%	28%	32%	37%	31%	26%
OP	26%	20%	6%	26%	12%	58%	83%	147%	34%	18%	77%	39%	29%
Net income	15%	18%	-1%	-3%	6%	16%	58%	76%	41%	6%	41%	44%	23%
QoQ													
Revenues	-4%	14%	20%	17%	-17%	20%	14%	18%					
GP	21%	12%	7%	5%	-5%	24%	12%	18%					
OP	17%	4%	18%	-12%	4%	48%	36%	18%					
Net income	-23%	17%	5%	2%	-15%	28%	43%	14%					

Source: Company data, Goldman Sachs Global Investment Research

Valuation: We are Neutral-rated on Hwatsing with a 12-month target price of Rmb395, which is based on 45x 2030E discounted P/E (discounted back to 2027E). Our target P/E is derived from correlation between peers P/E to the sum of NI YoY and OPM.

Key Risks: Stronger-/Weaker-than-expected semi capex expansion;
Faster-/Slower-than-expected SPE order gains from semiconductor clients;
Faster-/Slower-than-expected new product expansion.

688120.SS12m Price Target: **Rmb395.00**Price: **Rmb262.50**Upside: **50.5%****Neutral**

Market cap: Rmb92.6bn / \$13.8bn
Enterprise value:
Rmb90.9bn / \$13.5bn
3m ADTV: Rmb4.1bn / \$599.6mn
China
Greater China Technology
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn) New	4,648.2	6,239.2	8,095.7	10,305.8
Revenue (Rmb mn) Old	4,648.2	6,108.6	7,840.7	9,908.9
EBITDA (Rmb mn)	1,029.0	1,688.9	2,290.5	2,916.0
EPS (Rmb) New	3.08	4.33	6.25	7.68
EPS (Rmb) Old	3.08	4.43	5.96	7.39
P/E (X)	28.0	60.7	42.0	34.2
P/B (X)	4.1	10.6	8.7	7.1
Dividend yield (%)	0.5	0.2	0.3	0.4
CROCI (%)	19.0	20.0	23.2	23.0
	6/26	9/26E	12/26E	3/27E
EPS (Rmb)	0.89	1.28	1.46	1.24

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 25 Aug 2026 close.

Disclosure Appendix

Reg AC

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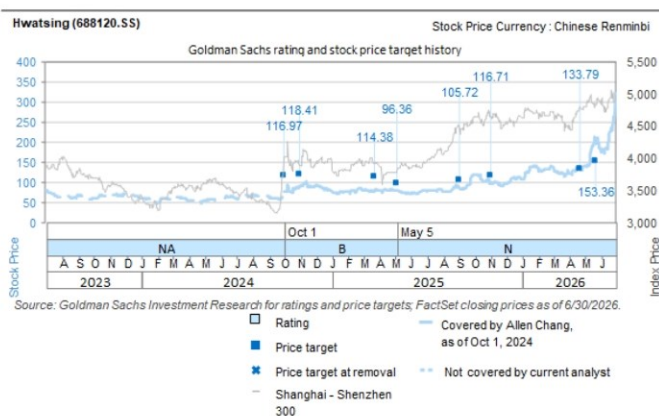
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Target price history table(s)

Hwatsing (688120.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
01-Jul-26	395.00	330.00
22-May-26	214.70	197.34
24-Apr-26	187.30	131.02
01-Nov-25	163.40	98.10
02-Sep-25	148.01	86.07
05-May-25	201.00	79.22
24-Mar-25	238.60	81.45
31-Oct-24	247.00	92.04
02-Oct-24	244.00	77.60

Price targets shown in table(s) are unadjusted for corporate actions.

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